

From: [Secretary](#)
To: [Secretary](#)
Subject: Transport Canada raises new roadblock for U.S. Lakers
Date: Wednesday, February 19, 2025 12:11:04 PM
Attachments: [2024-08-30 VTB MI Trader EM TC.pdf](#)
[2024-12-20 EM to TC MITrader Exemption Request.pdf](#)
[q2-15513 BW Notes TC email.pdf](#)
[MICHIGAN TRADER - TC BWMS Exemption Form 85-0530E \(2407-01\).pdf](#)
[MICHIGAN TRADER EXEMPTION LETTER 7 Nov 2024 SignedSF.pdf](#)
Importance: High

From: James H. I. Weakley <weakley@lcaships.com>
Sent: Friday, February 7, 2025 4:40 PM
To: Phillip "Chris" Hughey <phughey@fmc.gov>
Cc: Louis E. Sola <lsola@fmc.gov>; Rebecca Dye <Rdye@fmc.gov>; Daniel Maffei <dmaffei@fmc.gov>; Max Vekich <mvekich@fmc.gov>; Michael Amy <mamy@fmc.gov>; Anna D'Aprile <adaprile@fmc.gov>; John K. DeCrosta (jdecrosta@amo-union.org) <jdecrosta@amo-union.org>; John Moran <jmoran@fmc.gov>; Cory R. Cinque <ccinque@fmc.gov>; Jim Sartucci (jim.sartucci@klgates.com) <jim.sartucci@klgates.com>; Debra DiCianna <dicianna@lcaships.com>; Eric Peace <peace@lcaships.com>
Subject: Transport Canada raises new roadblock for U.S. Lakers
Importance: High

Chris,

Please excuse the length of this e-mail, but a recent development demands that I provide you a detailed explanation. I'm forwarding the below emails to update the FMC on the latest developments with Transport Canada (TC). At our last meeting, we discussed the ongoing harm brought by TC's delay in granting the exemptions. I pointed out that a long-term carriage contract had to be reduced because two of VanEnkevort's (VTB) tug/barge units were impacted by TC's requirement to install BWMS on post-2008 built U.S.-flagged Lakers. As discussed, we believe, based on monitoring the Marine Traffic website that the cargo lost by VTB for that stone customer is being carried by a Canadian-flagged vessel.

We also discussed that VTB was actively negotiating a contract for new business delivering U.S. exported bulk material to a Canadian customer. Due to the unmeetable condition in the TC-granted exemption for the T/B MICHIGAN TRADER requiring the vessel to use the research project ballast water management system (BWMS) at all times on the vessel's #8 ballast tanks, VTB could not include that vessel in the bid or trade in the Canadian market with that vessel. That TC requirement eliminated one of the company's three vessels from the proposed contract and all other Canadian business.

As discussed during our meeting, I advised the company to request that TC remove conditions #4 through #6 requiring the vessel to use the BWMS on the #8 ballast water tanks at all times. The removal of these conditions would allow the MICHIGAN TRADER to operate on par with exemptions granted to other U.S. and Canadian post-2008 vessels. The MICHIGAN TRADER should not be punished by TC for participating in a U.S. Government funded research project. To meet the requirements of the possible business contract, VTB asked TC to respond by the end of 2024. TC did not respond by the end of 2024 and VTB was unable to enter into a contract. Copies of VTB's initial application for a TC exemption, the TC exemption, and VTB's request that TC amend the exemption to

remove the three conditions are attached.

This is the **second instance of harm** and it is continuing for the 2025 sailing season and perhaps beyond. I am not sure for how many years the contract could have been extended. The best VTB can hope for is some spot market cargoes for the customer that VTB's other 2 vessels can carry. As you can see, each time the FMC delays action by requiring LCA to ask TC for relief, it only results in more business lost to Canadian vessels.

VTB finally received an e-mail response from TC, which is included below. We wondered if TC only responded because Ms. Debra DiCianna (LCA) recently forwarded to the FMC Secretary the December 20, 2024, VTB email request to TC. It seems like all TC's responses occur only after interaction with the Department of State or the FMC. As you can see from the below TC response, TC refused to remove conditions #4 through #6 from the exemption, ignored VTB's rationale for the request, and raised new hurdles for U.S. Laker operators.

Not only did TC refuse the request for removal of conditions #4 through #6 in the exemption (i.e., operation of the BWMS for the #8 ballast tanks), but TC added a new hurdle to be overcome that implicates in the near-term all post-2008 U.S. Lakers trading with Canada, as well as older Lakers by their September 8, 2030 compliance deadline. In their e-mail response to VTB, TC clarified that "the vessel is still not allowed to perform cargo operations in Canadian waters" and summarized that "it is not that the Michigan Trader has an exemption to extend the installation date of an IMO approved BWMS that automatically allows the vessel to perform cargo operations in Canada".

The TC response included citations for the TC ballast water regulations (BWR) 3(3) and 23. A copy of the TC ballast water regulations (BWR) is attached. Section 3(3) is "Non-Application" of the BWR (i.e., non-parties that transit Canadian waters), and Section 23 requires a document issued a non-party's flag state that "certifies the vessel meets the requirements of the Convention".

Thus, TC is now stating that, in addition to the extension of the deadline for installing a BWMS, the vessel also needs a certificate of compliance with the IMO BWM Convention from the U.S. Coast Guard (USCG), which would be equivalent to the International Ballast Water Convention (IBWMC) certificate. As I describe below, TC should have raised this issue immediately after receiving the post-2008 U.S. Laker exemption applications, and raising it now is clearly an attempt to drag out the exemption process and drive more cargo onto Canadian vessels.

The TC "Form to request an exemption to install ballast water management systems under ballast water regulations for foreign-flagged vessels in Canadian waters" required that a copy of the ship's IBWMC certificate be included with the submittal of the exemption application. The submittal of all LCA post-2008 vessel exemption applications included the statement that "the IOPP and IBWMC certificates are not included as they do not apply to this vessel", and the post-2008 U.S. Laker operator applicants clarified that the USCG could not provide any similar documentation. LCA had requested this documentation from the USCG, but the USCG confirmed that they could not provide these documents for U.S. Lakers because the requested USCG documents do not apply to non-oceangoing vessels such as Lakers.

TC communicated with all LCA members multiple times between September and November 2024 (after TC received their exemption applications) and never reiterated the request for documentation that “certifies that the vessel meets the requirements of the Convention” from the USCG. TC granted each post-2008 Laker exemption without stipulating that an “equivalent document” (BWR 23) was needed. The below e-mail is the first time that TC explained to us that the application for exemptions only covers the compliance timeline and does not cover BWR 23 (i.e., “equivalent document”).

Based on the above information, we and VTB interpret the TC response to mean that the TC exemption granted for MICHIGAN TRADER does not allow the vessel to serve Canadian ports without the vessel also possessing the “equivalent document”. This TC position should have the same effect on the TC exemptions for the vessels MARK W. BARKER, ERIE TRADER, and CLYDE S. VANENKEVORT, as all submitted similar application documents to TC and were unable to obtain an “equivalent document” from the USCG.

TC avoided FMC action under chapter 423 of title 46, U.S. Code, by waiting until the “shot clock” on that investigation was about to expire and then issuing exemptions that only provide the appearance of removing the barrier for trade. After the “shot clock” expired, TC has now raised a new barrier to U.S. Lakers conducting cargo operations in Canada. Such duplicitous bureaucratic behavior by TC should no longer be rewarded by the FMC sending LCA on additional paper chases.

TC is essentially prohibiting cargo operations in all Canadian ports for all post-2008 U.S.-flagged Lakers. Now, neither the MICHIGAN TRADER nor the ERIE TRADER, two of VTB’s three total tug/barge units (67% of the VTB U.S.-built fleet), can call on Canada. TC’s new demand for an unobtainable “equivalent document” also means the MARK W. BARKER is prohibited from loading or unloading cargo in Canada. These vessels only have an exemption to transit Canadian waters without an “equivalent document”, but they can’t call on Canadian ports.

We have informed Interlake Steamship, the vessel operator of the MARK W. BARKER of this development. We believe that they had planned on using the vessel in the Canadian trade and are also currently experiencing harm from the Canadian prohibition.

We have attached the TC Ballast water regulations and highlighted the sections referred to in the below email, 3(3) (pdf page 4 of 12) and 23 (pdf page 12 of 12).

The email below from TC illustrates that TC is playing with U.S.-flagged Lakers and does not clearly communicate the requirements to U.S.-flagged applicants. All LCA members with post-2008 U.S.-flagged Lakers answered all questions and requests by TC in as much detail as was possible and clearly noted when providing requested information was not possible. TC had every opportunity to push for the “equivalent document” prior to granting the exemptions, but did not do so until after the chapter 423 “shot clock” had expired.

Fortunately, this new requirement was uncovered during the Laker fleet winter lay-up period instead of when a post-2008 U.S.-flagged Laker with an exemption called on a Canadian port and was fined or detained by TC for non-compliance with BWR 23 (equivalent document).

Having exhausted their appeal options, VTB's MICHIGAN TRADER remains prohibited from trading with Canada. Now, also faced with a new barrier applicable to all post-2008 Lakers, I urgently request the FMC act under chapter 421 of title 46 U.S. Code to determine that TC's blockage of U.S. post-2008 Lakers is a special condition unfavorable to shipping in foreign trade and take immediate action to remedy this situation. U.S. Laker operators have already lost millions of dollars in business to Canadian vessel operators as a result of TC's delays and actions regarding TC's BWR. This situation has gone on for too long and the FMC needs to use its authority to stop this abuse now. The Administration has shown that the best way to get the Canadian Government to fix a problem they are causing the United States is to hit back with the full authority of U.S. laws. The FMC should follow this example.

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Respectfully,

Jim Weakley
President
Lake Carriers' Association

Attachments:

1. VTB application for exemption for M/V MICHIGAN Trader
2. TC exemption for M/V MICHIGAN Trader
3. VTB request for amendment of TC exemption for M/V MICHIGAN Trader
4. TC ballast water regulation
5. VTB email dated August 30, 2024 to TC noting IBWMC certificate does not apply

From: Fortin, Suzie (TC/TC) <suzie.fortin@tc.gc.ca>

Sent: Wednesday, February 5, 2025 11:09:16 AM

To: Josh Carpenter <JCarpenter@vtbarge.com>

Cc: Michaud, Daniel (TC/TC) <daniel.michaud@tc.gc.ca>; Werszko, Elizabeth (TC/TC) <elizabeth.werszko@tc.gc.ca>; Rogers, Sean (TC/TC) <sean.rogers@tc.gc.ca>; Marier, François (TC/TC) <francois.marier@tc.gc.ca>; Taylor, Jason (TC/TC) <jason.taylor@tc.gc.ca>

Subject: Michigan Trader Exemption from the Ballast Water Regulations

UNCLASSIFIED / NON CLASSIFIÉ

Good day Mr. Carpenter,

I apologize for the late response to your email dated December 20, 2024.

To clarify, the Michigan Trader currently has an exemption from the Ballast Water Regulations

(BWR) until September 28, 2026. The exemption conditions on the Michigan Trader are different than any other vessel that received an exemption to postpone the installation of an IMO approved BWMS. It already has an IMO approved Ballast Water Management Systems installed onboard which is requested to be used in accordance with the conditions and limitation established under a United States Research and Development Program, and wants to be exempted from using it as much as possible as called for in the BWR. Transport Canada has not received any further relevant information with regards to this Research and development Program other than for the ballast water tanks # 8 P/S.

The exemption letter that Transport Canada issued on November 7, 2024, and which bears an expiry date of September 28, 2026, allows you to manage the vessel's ballast water as per the conditions stipulated in the Exemption letter while the vessel is transiting in Canadian water on the Great Lakes Basin.

With regards to extending the exemption to September 8, 2030, Transport Canada is unable to amend the exiting policy stating until the next drydocking period at this time. We are evaluating the possibility of providing the Michigan Trader with a later timeline for the exemption, and we will communicate with you as quickly as possible regarding that aspect.

Further, for the removal of the conditions #4 through #6 , we believe there is a misunderstanding of these conditions. Primarily, there is no restriction in using normal exchange without using the IMO approved BWMS (pump in / pump out) for all tanks other than the tank #8 P/S and IMO approved BWMS which must be used to manage (treat) the ballast water in tanks # 8 P/S while *MICHIGAN TRADER* non-party vessel transits the water under Canadian jurisdiction in the Great Lakes Basin, i.e., the vessel is making a voyage between ports located outside of Canada. In addition, like any other approved system on board a vessel, the system must be operated and have ballast water managed as per manufacturer's instructions as well as with any limitation/restriction established under the BWMS IMO Type Approval Certificate which should be included in the Ballast Water Management Plan verified by the United States Coast Guard.

Essentially, the vessel is still not allowed to perform cargo operations in Canadian waters. The issue remains that the vessel is still captured by BWR 3(3), which does only allow non-party vessels to transit our waters on the Great Lake Basin. To operate in Canadian waters, the vessel must be surveyed and certified as a non-party vessel in accordance with BWR 23. This stands *unless you request on behalf of the operator an exemption from these BWR requirements*. Transport Canada would then review this request for consideration regarding the potential to allow the non-party vessel to conduct cargo operations in Canadian waters and not only transit.

To summarize, it is not that the Michigan Trader has an exemption to extend the installation

date of an IMO approved BWMS that automatically allows the vessel to perform cargo operations in Canada, as the vessel can only transit Canadian waters in accordance with BWR 3(3) while not meeting the BWR (23) requirements.

Please reach out to me if you have any further questions.

Best Regards,

Suzie Fortin [CD, MBA, P.Eng.](#)

Director Environmental Programs & Protection Standards |
Directrice Programmes environnementaux & normes de protection
Marine Safety & Security | Sûreté et sécurité maritimes (AMSK)
Transport Canada / Government of Canada
Suzie.Fortin@tc.gc.ca / Tel: (343) 551-5290

From: Josh Carpenter

Sent: Friday, December 20, 2024 1:31 PM

To: Fortin, Suzie (TC/TC) <suzie.fortin@tc.gc.ca>

Cc: Rogers, Sean (TC/TC) <sean.rogers@tc.gc.ca>; Marier, François (TC/TC) <francois.marier@tc.gc.ca>; Manger, Joanna (she,her | elle,la) (TC/TC) <joanna.manger@tc.gc.ca>; Michaud, Daniel (TC/TC) <daniel.michaud@tc.gc.ca>; Kunnuparambil C, Chanchal (TC/TC) <chanchal.kunnuparambilc@tc.gc.ca>; Nadkarni, Chaitanya (TC/TC) <chaitanya.nadkarni@tc.gc.ca>; Debra DiCianna <dicianna@lcaships.com>; James H. I. Weakley <weakley@lcaships.com>

Subject: RE: Michigan Trader Exemption Request from the Ballast Water Regulations

Dear Ms. Fortin,

We are in the process of responding to a multi-year request for proposal (RFP) to move cargo between the U.S. and Canada and need the capacity of the barge MICHIGAN TRADER for that contract bid. The terms of the attached exemption prohibit us from effectively competing for the business. The exemption is not consistent with broader extensions granted to other vessels and creates an immediate and continuing harm to our business. It effectively removes 1/3 of our capacity to serve existing and future contracts in the cross-border trade. It requires us to use the ballast water management system (BWMS) when engaged in domestic U.S. trade, which goes beyond the requirements in both the U.S. and Canadian ballast water regulations. The attached exemption requires the vessel to meet the D-2 discharge standard and denies it “deemed compliance” status, going beyond the requirement for all other vessels – both U.S. and Canadian-flagged vessels operating in the Great Lakes. We need the exemption letter amended by December 31, 2024, to bid on the new business. We have already been forced to amend an existing contract to reduce our trans-border business for 2024 and 2025 as a direct result of the Transport Canada

exemption process for U.S.-flagged vessels. That business is lost and cannot be regained. We are asking for an amended exemption to allow us to bid on new business. Below are the specific problems with the exemption and our requested amendments.

VanEnkevort Tug & Barge LLC (VTB) requests the following changes to the exemption granted for the MICHIGAN TRADER (AMSKE-2024-RDIMS-20655310):

- Change the expiration date of the exemption to September 8, 2030, and
- Remove conditions #4 through #6 listed below:

“4. The vessel's onboard crew must manage ballast water with a fully functional Ballast Water Management System complying with the IMO Ballast Water Performance Standard (D2) used under a Research and Development Program for ballast water tanks No 8 port and starboard only, and ballast water exchange procedures for all other ballast water tanks as detailed in the Ballast Water Management Plan (BWMP).

5. While operating according to D2 standards, the vessel ballast water management operation must only be performed using the onboard IMO approved Ballast Water Management System (BWMS).

6. The ballast water is managed in accordance with the manufacturer's instructions for the vessel's ballast water management system, subject to any limiting operating conditions or other restrictions identified in the Type Approval Certificate evidencing the system's approval under regulation D-3 of the Annex to the International Convention for the Control and Management of Ships' Ballast Water and Sediments, 2004.”

As mentioned in the application, the vessel is operating the installed DESMI CompactClean BWMS under a research project operated by the Great Waters Research Collaborative (GWRC) and funded by the U.S. Environmental Protection Agency (EPA). The research agreement with the GWRC does not include the above Transport Canada imposed requirements and limitations on the use of the BWMS and our experience with the BWMS has shown that it cannot meet those requirements.

We request that the expiration date be changed based on the final U.S. EPA Vessel Incidental Performance standards (October 9, 2024) not requiring existing Lakers to install a BWMS and identifying a five-year review process to possibly change requirements. The 2030 timeline aligns with the earliest possible timeframe that the U.S. EPA may revise requirements for existing Lakers.

We also request these changes to enable the MICHIGAN TRADER to respond to an existing RFP. Other vessels in this possible trade do not have such limitations on their operations. The BWMS should not be required to operate outside of the agreed upon research plan with the GWRC.

Please contact us with any questions.

Thank you,

Josh Carpenter | Vice President of Operations

VanEnkevort Tug & Barge, Inc. | www.vtbarge.com |  

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From: Fortin, Suzie (TC/TC) <suzie.fortin@tc.gc.ca>

Sent: Thursday, November 7, 2024 3:12 PM

To: ops <ops@vtbarge.com>

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Subject: Michigan Trader Exemption Request from the Ballast Water Regulations

UNCLASSIFIED / NON CLASSIFIÉ

Dear Mr. Carpenter,

Please see attached the decision letter regarding your request for exemption from the Ballast Water Regulations for the Michigan Trader.

Best Regards,

Suzie Fortin CD, MBA, P.Eng.

Director Environmental Programs & Protection Standards |

Directrice Programmes environnementaux & normes de protection

Marine Safety & Security | Sûreté et sécurité maritimes (AMSK)

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